

FUTURE ON EDGE? A group of techies in their San Francisco office in the US

panic-stricken H-1B visa-holders tried to de-board. India's ministry of external affairs pointed to the 'humanitarian consequences' for families from the disruption. "The government hopes that these disruptions can be addressed suitably by the US authorities," it said.

CLARIFICATION AND AFTER

Amid the panic unleashed over the weekend, the US authorities issued a hasty clarification. The $100,000 fee was a one-time payment on submission of a new H-1B petition made after the cut-off date of September 21, not an annually recurring one as initially feared. It also did not change any payments or fees required for H-1B renewals; nor did it prevent any current H-1B holder from travelling in and out of the US. While this clarification brought immediate relief, India's IT industry is on a wait-and-watch mode.

WHAT IS AN H-1B VISA?
A temporary employment visa for skilled workers in specialised fields like technology and medicine in the US. It requires the employer to sponsor the applicant

For them, the move comes as an added challenge. Ongoing geopolitical uncertainties, including a US tariff reset, have already prompted clients to pause their IT budgets, putting pressure on the margins of software firms. On the tech front, new artificial intelligence (AI) tools are also forcing firms and IT employees to quickly adapt to new ways of working.

However, according to estimates by industry body Nasscom, H-1B workers account for less than 1 per cent of the entire employee base of the top 10 Indian and India-centric companies. "Given this trajectory, we anticipate only a marginal impact for the sector," it said, adding that the US clarification alleviates concerns on business continuity and uncertainty for H-1B holders outside the US. Moreover, since the new visa fees will apply only from 2026 onwards, Nasscom believes companies have time to further step up skilling programmes in the US and enhance local hiring.

"Services exports have finally been dragged into the ongoing global trade and tech war. After all the initial confusion, we understand now that the recent hike in H-1B visa fees is applicable for new visas and does not impact existing holders/visa renewals," Madhavi Arora, chief economist of Emkay Global Financial Services Ltd, said in a research note.